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Balance Sheet as on 31st December, 2016

Liabilities	`	`	Assets	`	`
Capital	1,31,500		Investments		70,000
Add: Net profit	69,170		Stock in trade		1,30,000
	2,00,670		Sundry debtors	60,000	
Less: Drawings	5,000	1,95,670	Less: Provision for bad and doubtful debts (60,000 x 5/100)	3,000	
6% Loan	20,000			57,000	
Add: Interest outstanding	900	20,900	Less: Provision for discount on debtors (57,000 x 2/100)	1,140	55,860
Sundry creditors		40,000	Petty cash		710
		2,56,570			2,56,570

Illustration 18

Following is the trial balance of Brijesh. Prepare final accounts for the year ended on 31st March, 2016.

Particulars	Debit `	Credit `
Stock as on 01-04-2015	2,00,000	
Purchases and Sales	22,00,000	33,00,000
Returns	1,00,000	80,000
Carriage inwards	50,000	
Salaries	2,60,000	
Insurance	1,20,000	
Wages	80,000	
Bad debts	10,000	
Furniture	7,00,000	
Capital		7,50,000
Printing and stationery	80,000	
Cash at bank	3,15,000	
Petty cash	5,000	
Commission	10,000	
	41,30,000	41,30,000

Adjustments:

(i) Stock on 31st March, 2016 was valued at ` 4,00,000.

(ii) Depreciate furniture @ 10% p.a.

(iii) Insurance of ` 60,000 was paid in advance

(iv) Commission receivable ` 50,000.